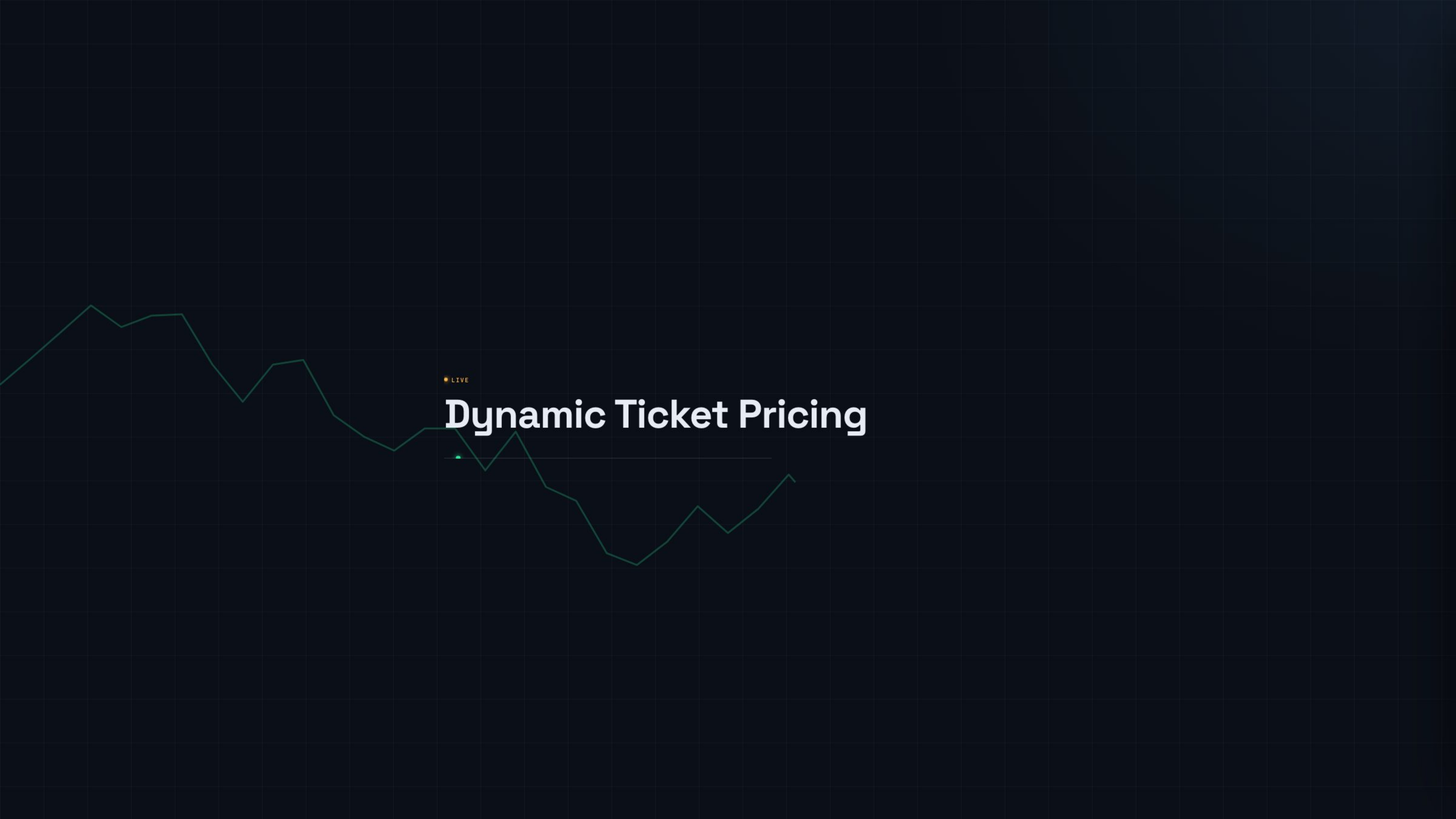




Ticket Sales and Dynamic Pricing II

SPM381 Consumer Behavior in Sport

OPEN · DEMAND ▲ · PRICE ADJ



LIVE

Dynamic Ticket Pricing

Dynamic Ticket Pricing

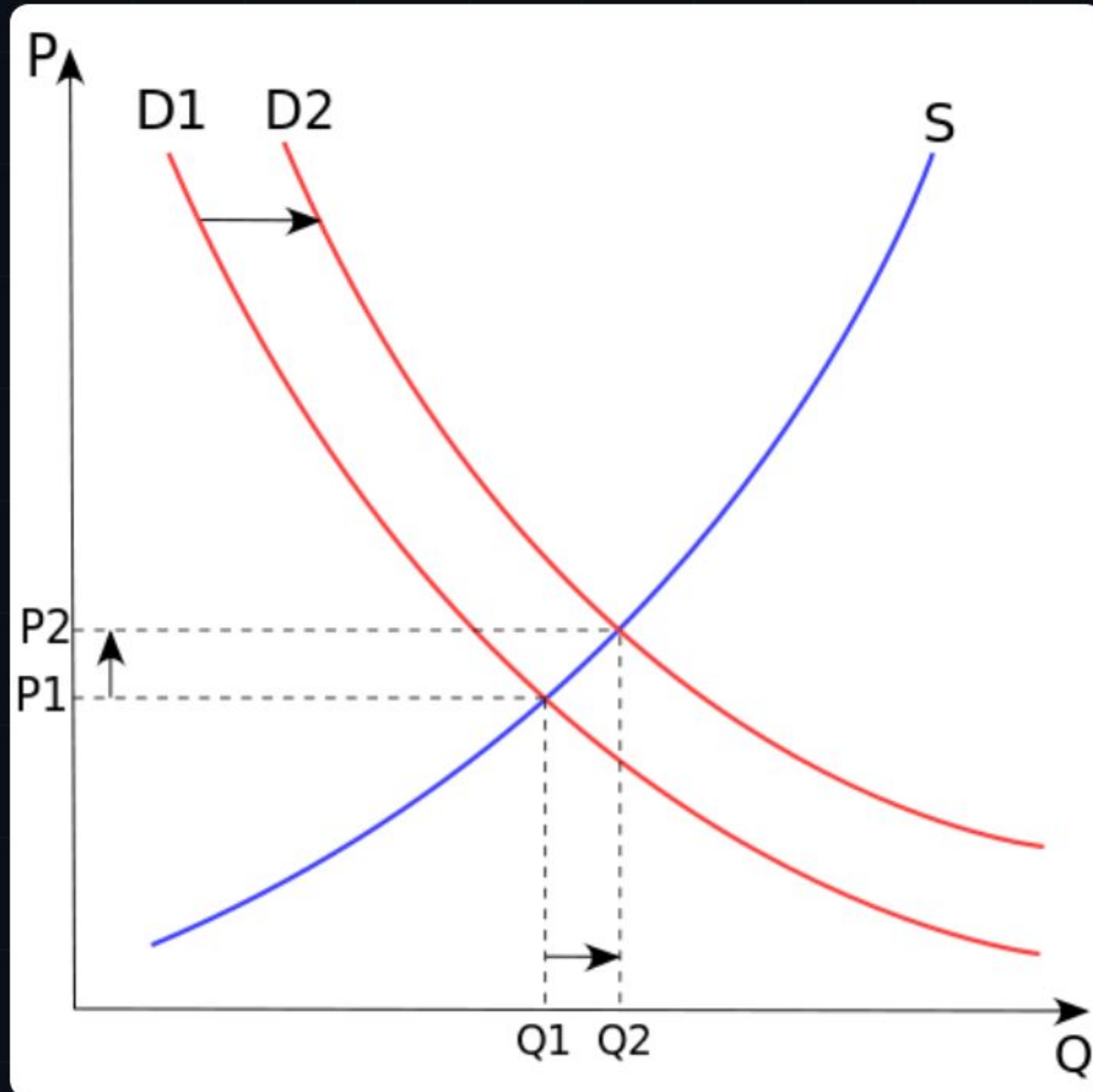
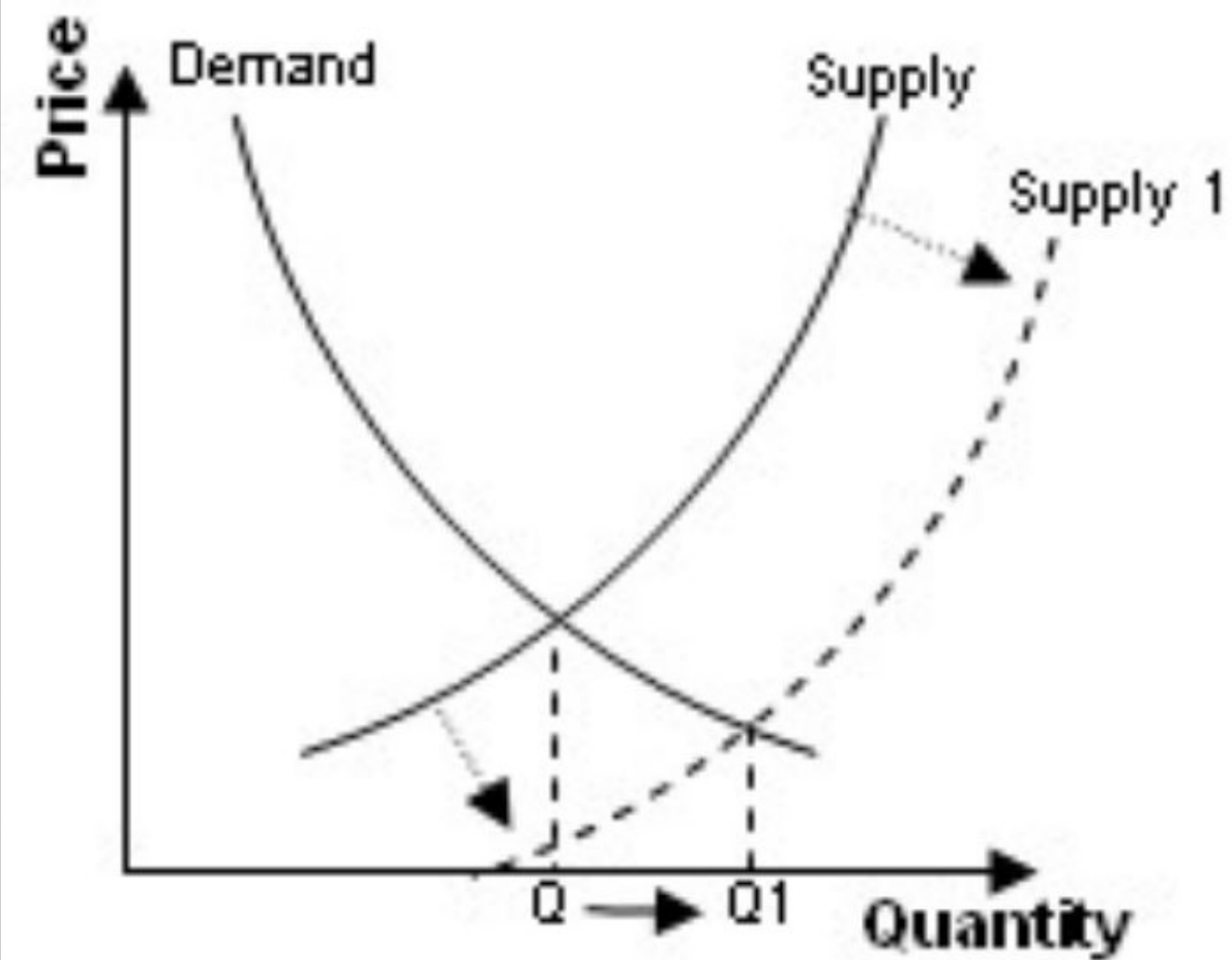


Figure 5 – “Supply and Demand” Curves



Dynamic Ticket Pricing cont.

What is dynamic ticket pricing?

ANSWER

"Adjusting single-game ticket prices in real-time based on ticket availability and changing factors such as league standings, opposing team, rivalries, star players, day of the week, and supply and demand"

SOURCE <https://www.mlb.com/royals/tickets/dynamic-pricing>

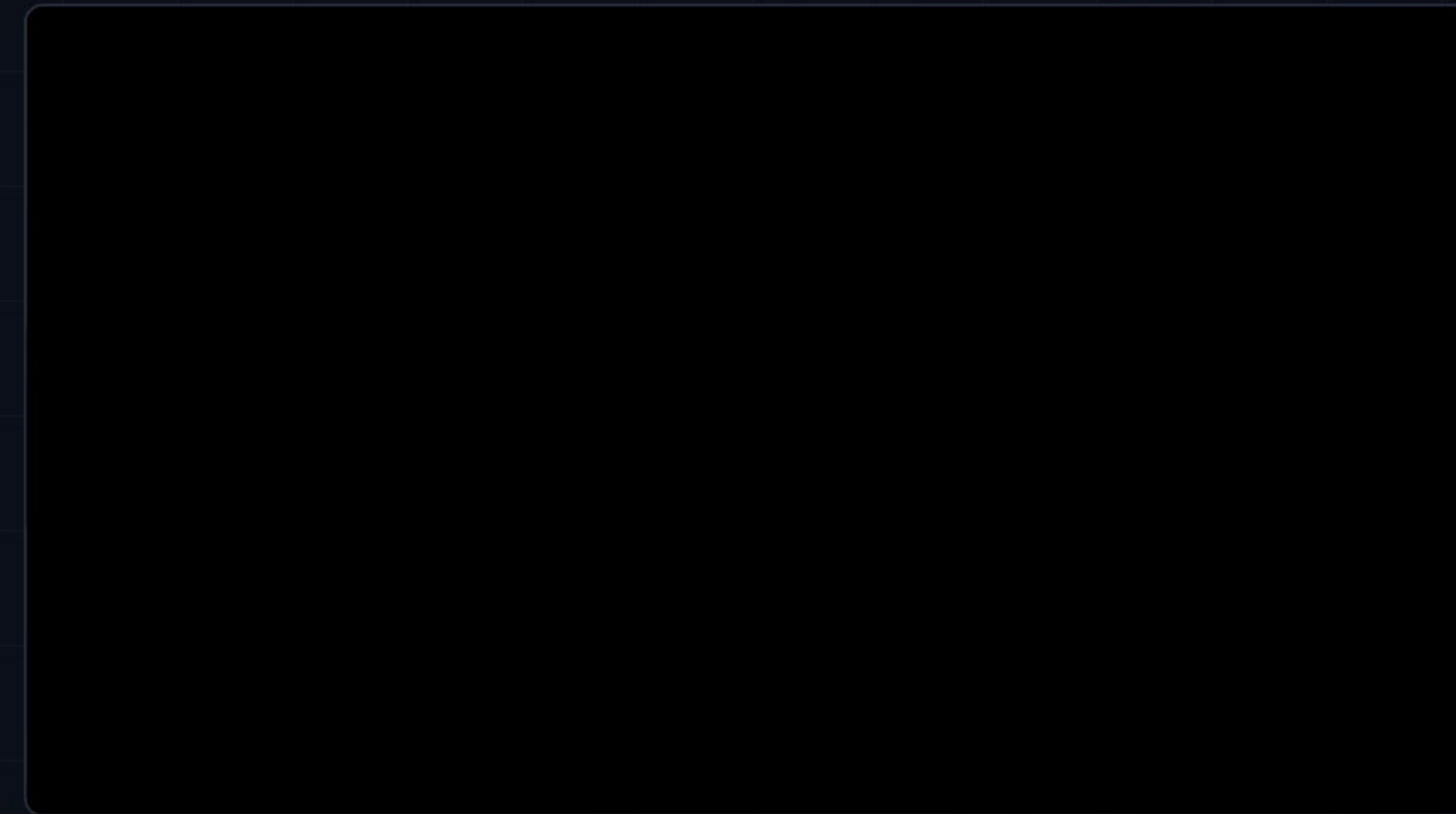
Dynamic Ticket Pricing cont.

What is dynamic ticket pricing?



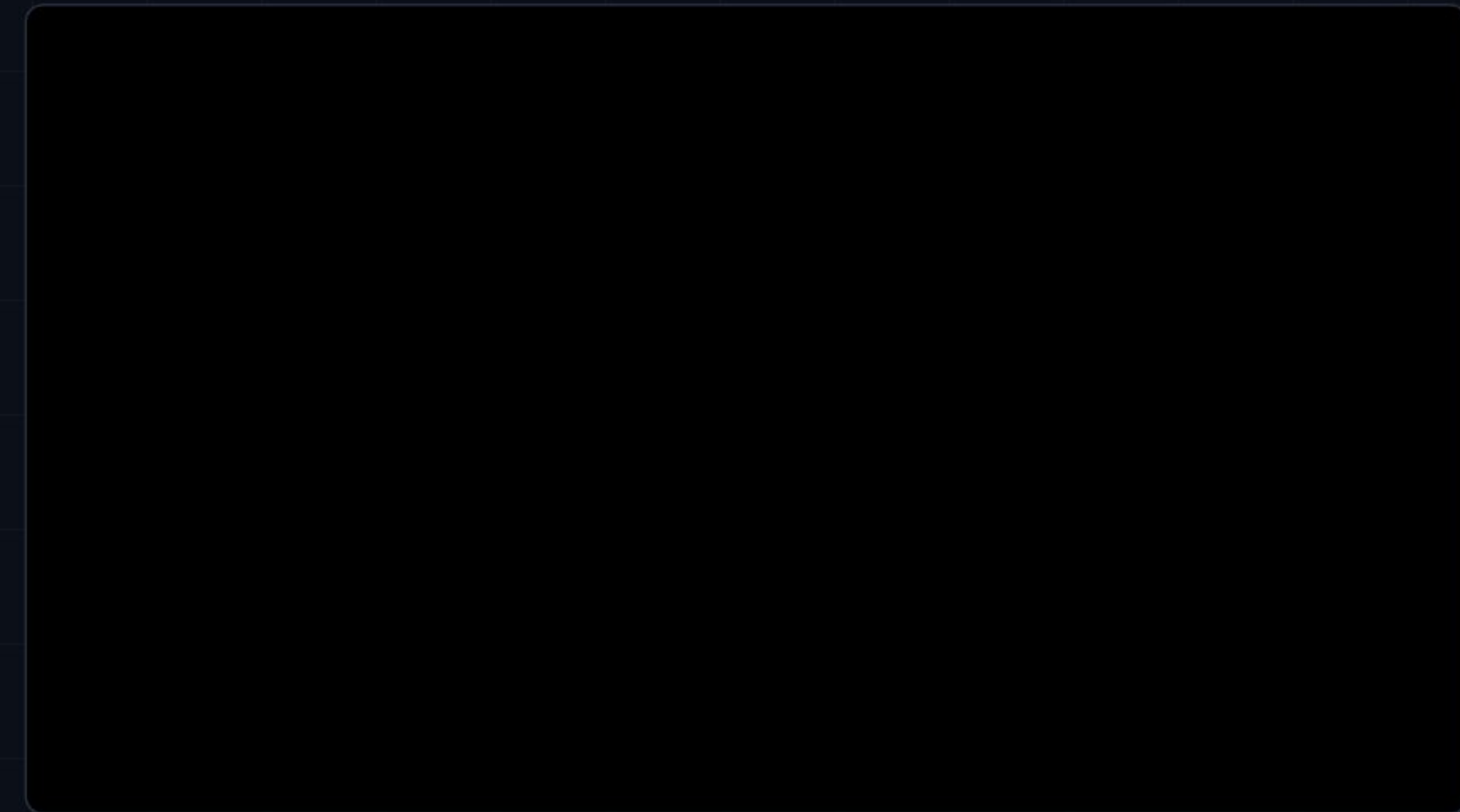
Dynamic Ticket Pricing cont.

Related Videos



► https://www.youtube.com/watch?v=wX_J3dZqXmE

| Click a link to watch on YouTube



► https://www.youtube.com/watch?v=61dIPpRze_o

Dynamic Ticket Pricing cont.

Which games are subject to dynamic price?

ANSWER

All regular season games are subject to dynamic pricing.

Dynamic Ticket Pricing cont.

Are season ticket holders subject to this change and dynamic pricing?

ANSWER

Season ticket holder ticket prices are not impacted.

Dynamic Ticket Pricing cont.

Are group tickets subject to dynamic pricing?

ANSWER

Yes, as single-game ticket prices adjust, group ticket prices will also be adjusted. Price for group tickets will be determined by that day's dynamic price and any additional add-on tickets would be at the dynamic rate on the data of purchase for those seats.

Dynamic Ticket Pricing cont.

How do teams decide when to raise or lower prices?

ANSWER

They use an algorithm that considers multiple data points to suggest pricing based on market conditions.

Dynamic Ticket Pricing cont.

What happens if prices lower after fans buy their tickets?

ANSWER

Tickets are priced based on market demand. All sales are final and refunds will not be issued.

Dynamic Ticket Pricing cont.

How do fans find out what the price is for a ticket or when there is a good deal?

ANSWER

Secondary market for ticket sales, Twitter (X), Facebook page, email-notification, team's website etc.

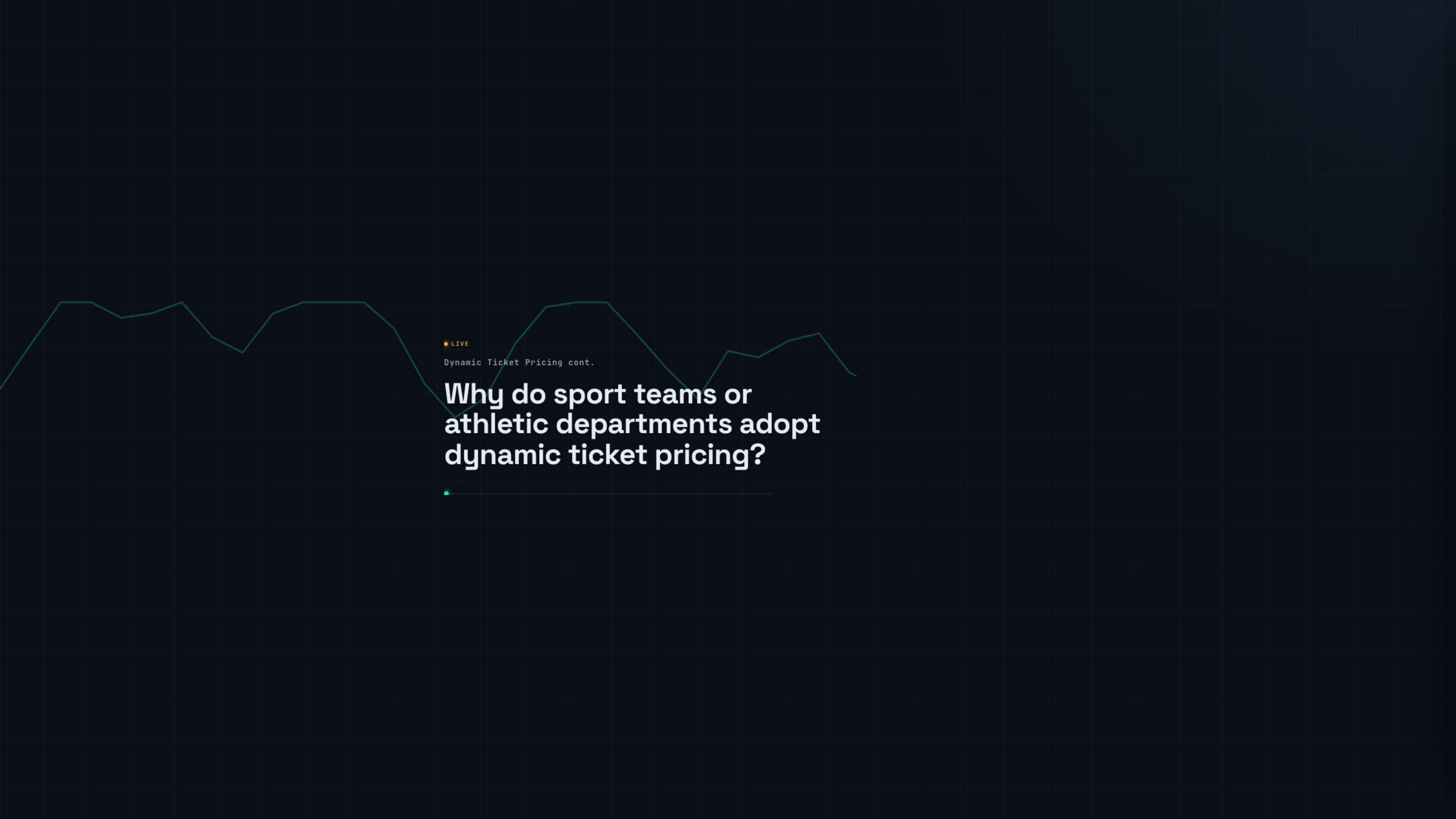
Dynamic Ticket Pricing cont.

- In 2013, Michigan announced that all single-game football tickets are subject to a new dynamic-ticket pricing policy (not season tickets or student tickets).

- Was it good or bad news?

- Do you think the new ticketing policy will price fans out of the game?





Why do sport teams or athletic departments adopt dynamic ticket pricing?

Dynamic Ticket Pricing cont.

Why do sport teams or athletic departments adopt dynamic ticket pricing?

- There is greater fan acceptance of real-time pricing in sports.

- Dynamic pricing boosts the revenue maximization goals of sports organizations.

- Ticket pricing technologies have advanced to the point where it has become logistically more efficient to implement dynamic pricing in sports.

- Dynamic pricing makes sport consumers to purchase season-tickets in order to secure a greater sense of price certainty in the face of real-time pricing.

Dynamic Ticket Pricing cont.

Has dynamic pricing worked?

Increasing revenue by an average of roughly **30%** in high demand situation and approximately **5-10%** in low demand situations (Qcue).

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Secondary Market for Ticket Sales

100%



Re-Sales Methods

How it works: Buying and selling tickets online???



► <https://www.youtube.com/watch?v=gNmipF5ZDbA>



► <https://www.youtube.com/watch?v=rEQSseLnT1Q&t=38s>

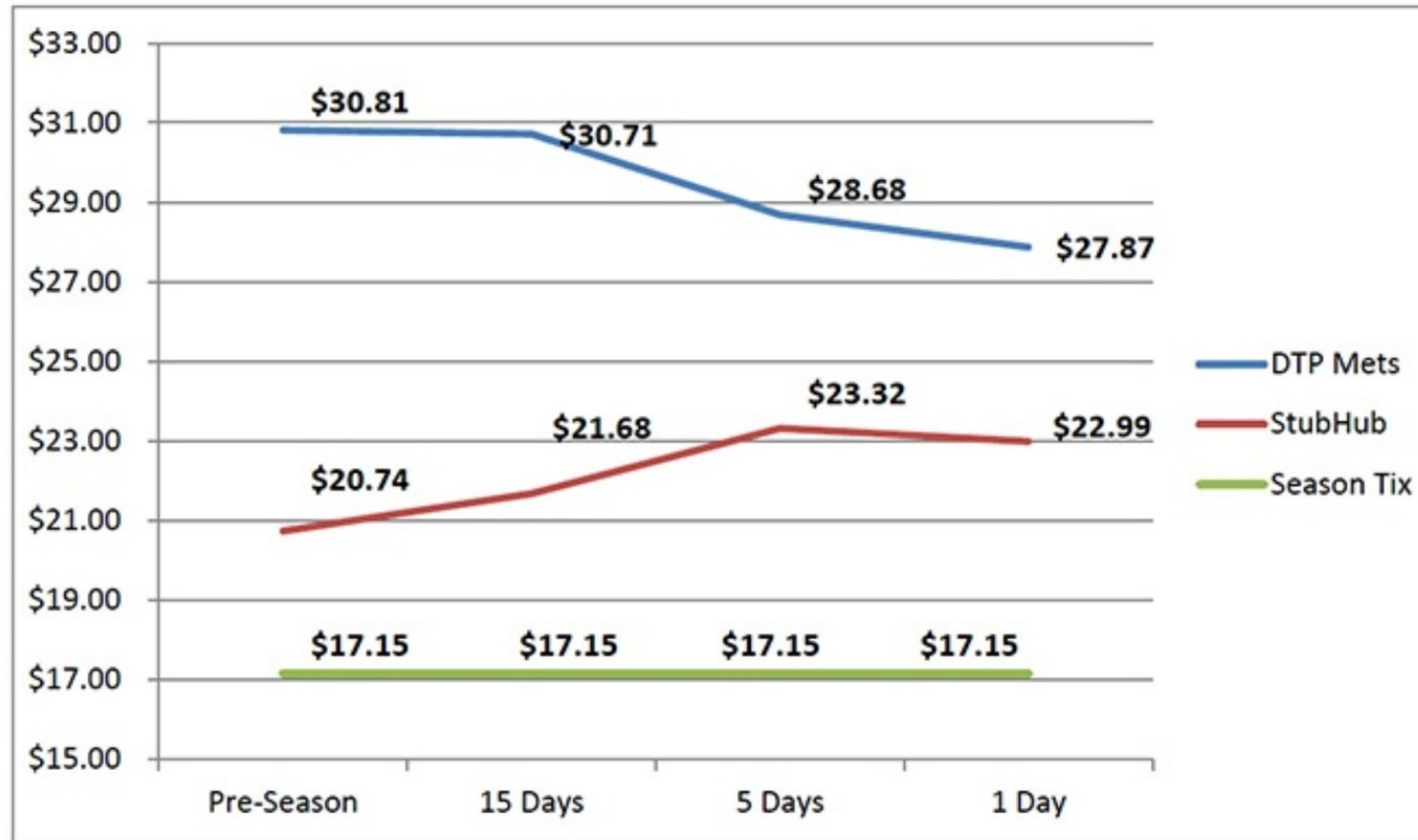
Dynamic Pricing vs. Secondary Market for Ticket Sales

Shapiro & Drayer (2012) A new age of demand-based pricing: An examination of dynamic ticket pricing and secondary market prices in MLB.

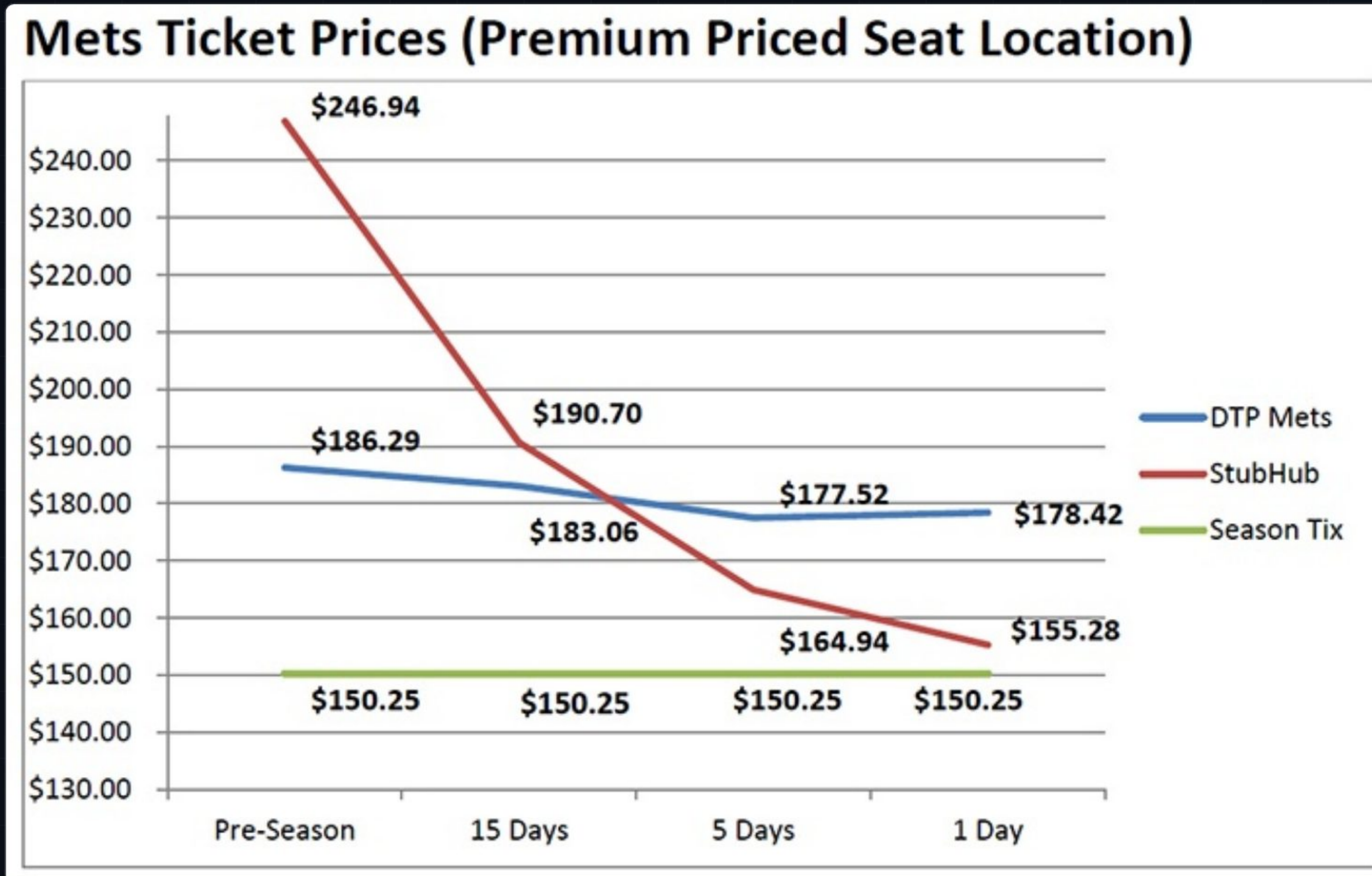
▪ This week's reading!

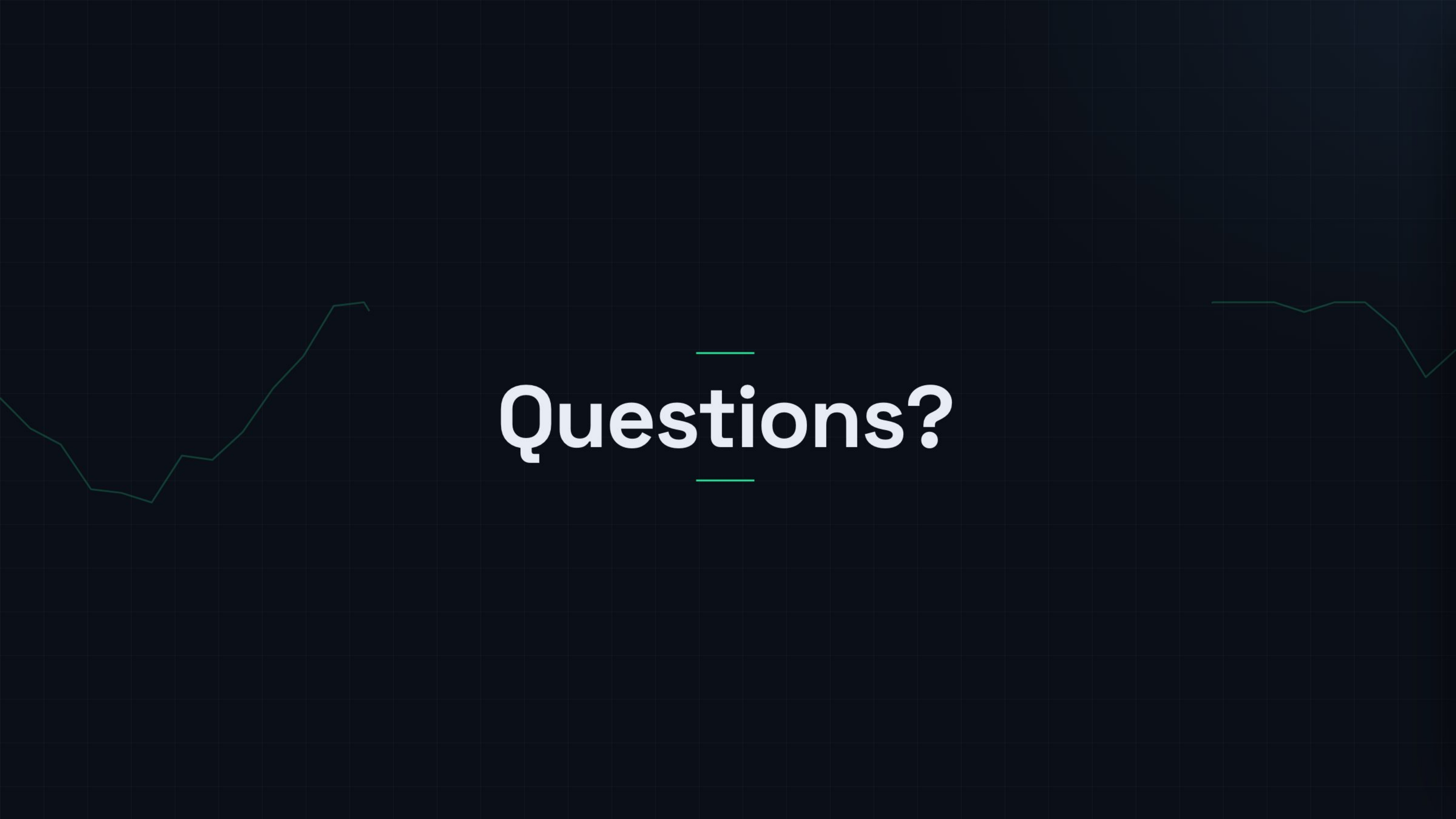
Dynamic Pricing vs. StubHub Prices

Mets Ticket Prices (Low Priced Seat Location)



Dynamic Pricing vs. StubHub Prices cont.





Questions?